Adrian Armas Braithwaite

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Education

2023- Ph.D. in Economics, University of Michigan
Fields: Macroeconomics and International Finance
Advisors: Toni Whited, Stephen Terry and Ruediger Bachmann
Passed Microeconomics and Macroeconomics with distinction

2016-18 M.Sc. in Economics and Finance, Centro de Estudios Monetarios y Financieros (CEMFI), Madrid, Spain

2014-16 M.Sc in Applied Mathematics (First year courses), Pontificia Universidad Católica del Perú, Lima, Peru

2012-15 M.Sc. in Economics, Universidad del Pacífico, Lima, Peru

2008-13 B.Sc. in Economics, Universidad del Pacífico, Lima, Peru

Research

Working Papers

- "Dollarization Persistence and Expectation Formation" (Third Year Paper, work in progress)
  Deposit dollarization persists after inflation has stabilized. This paper asks to what extent this persistence reflects expectations formed through past experiences. Building on the experience-based learning framework of Malmendier and Nagel (2011, 2016), I argue that heterogeneous lifetime inflation and depreciation experiences across birth cohorts generate differences in beliefs about future depreciation and, therefore, in deposit dollarization. Using three waves of Uruguayan household financial surveys, I document that individuals with higher lifetime depreciation experience hold a larger share of their deposits in foreign currency. I then embed experience-based learning in an overlapping-generations model with incomplete markets and endogenous currency portfolio choice, disciplined by the household-level estimates, and compare its predictions with the aggregate Uruguayan deposit dollarization series. The model highlights cohort replacement as a quantitatively important margin of aggregate de-dollarization, complementing within-cohort belief updating.
  Presented at: Encuentro de Economistas 2026 (Central Reserve Bank of Peru Annual Conference), Human Capital, History, Health, Demography, & Development (H2D2) Seminar, University of Michigan (2026), 21st Economics Graduate Student Conference, Washington University in St. Louis (2026).
  Scheduled: CEPR International Macroeconomics and Finance (IMF) Programme Meeting 2026 (November 2-3), International Macro Lunch, University of Michigan (November 6).

- "Fertility Free-Riding and Optimal Transfers" with Brian C. Fujiy and Benjamin Glass (work in progress)
  U.S. fertility has declined for decades, threatening long-run economic growth. This paper identifies a fertility free-riding problem: additional births generate positive externalities for society, but individual families bear all the costs and society does not capture the full social value. We develop an optimal transfer system by embedding a semi-endogenous growth model into an overlapping-generations framework with endogenous fertility, capturing both intensive (number of children) and extensive (share of families with children) margins. Using American Community Survey data, we will analyze if fertility is inefficiently low and see the effects of implementing optimal transfers on U.S. fertility rates and long-run growth.
  Presented at: Doctoral Symposium, Hong Kong Baptist University (2026).

- "Exchange Rate Determination and Optimal FXI Policy: The Role of Portfolio and Liquidity Shocks" with Marco Ortiz (work in progress, new version)
  We develop a model in which banks intermediate capital flows in segmented foreign exchange markets while managing liquidity risk through frictional interbank markets. The interaction of portfolio and liquidity channels generates joint deviations from both uncovered and covered interest rate parity (UIP and CIP). We establish three analytical results: first, settlement frictions create endogenous liquidity premia that drive a wedge between lending, deposit, and reserve rates in each currency; second, the modified UIP condition decomposes into a risk premium—reflecting banks' limited capacity to absorb exchange rate risk—and a liquidity premium—reflecting the relative scarcity of reserves across

currencies; third, CIP deviations arise exclusively from liquidity frictions, not from portfolio imbalances. We embed this financial sector in a small open economy general equilibrium model and characterize optimal foreign exchange intervention (FXI) policy. Spot interventions affect both the liquidity and portfolio margins, whereas interventions through non-deliverable forwards operate only through the portfolio channel. The optimal instrument mix depends on the nature of the underlying shock, providing a rationale for the diverse FXI strategies observed across emerging market central banks. An earlier version is published in the SBS Peru Working Paper Series.
Presented at: Central Reserve Bank of Peru Research Seminar (2022), Central Reserve Bank of Peru Annual Meeting (2022), CIDE Research Seminar, 23rd INFER Annual Conference (2022), LACEA LAMES (Lima, Peru, 2022), Money, Macro and Finance Society Annual Meeting (2022), Pontificia Universidad Católica del Perú Seminar (2022), Department of Economics Seminar, Universidad de Chile.

Previous Work

- "Default on Debt Payment and Loss of Formal Employment in Peru"
  Published in SBS Peru Working Paper Series. Link
- "Liquidity Management in a Bi-Monetary Banking System" (CEMFI M.Sc. Thesis)
  Published in SBS Peru Working Paper Series. Link
  Presented at: Asociación Peruana de Economía Annual Meeting (2019), Banco Central de Reserva del Perú Annual Meeting (2019)
- "Liquidity Management in a Total Dollarized Economy" (Universidad del Pacífico M.Sc. Thesis)
  Published in SBS Peru Working Paper Series. Link

Presentations

2026	Encuentro de Economistas (Central Reserve Bank of Peru Annual Conference) | Human Capital, History, Health, Demography, & Development (H2D2) Seminar, University of Michigan | 21st Economics Graduate Student Conference, Washington University in St. Louis | Doctoral Symposium, Hong Kong Baptist University | CEPR International Macroeconomics and Finance (IMF) Programme Meeting (November 2–3, scheduled) | International Macro Lunch, University of Michigan (November 6, scheduled)
2022	Central Reserve Bank of Peru Research Seminar | Central Reserve Bank of Peru Annual Meeting | 23rd INFER Annual Conference | LACEA LAMES Annual Meeting (Lima, Peru) | Money, Macro and Finance Society Annual Meeting | Pontificia Universidad Católica del Perú Seminar
2019	Asociación Peruana de Economía Annual Meeting | Central Reserve Bank of Peru Annual Meeting
Other	CIDE Research Seminar | Department of Economics Seminar, Universidad de Chile

Professional Experience

2018-23	Research Analyst, Superintendence of Banks, Insurance Companies, and Private Pension Funds, Lima, Peru Elaboration of Working Papers and Policy Reports.
Research	**Assistant**
2024-25	Chris House, University of Michigan, United States, Michigan (During Summer) Received research guidance from Chris on my working papers.
2011-2017	Josep Pijoan-Mas, Centro de Estudios Monetarios y Financieros, Madrid, Spain (Summer 2017) Oswaldo Molina (2015-2016), Juan Mendoza (2014), Matthew Bird (2013), Eduardo Moron (2011-2012), Universidad del Pacífico, Lima, Perú

Awards, Fellowships, and Scholarships

During Ph.D.

- Travel grant to present at the CEPR International Macroeconomics and Finance (IMF) Programme Meeting, November 2–3, 2026 (travel and lodging)
- Grant to attend the NBER Behavioral Macro Boot Camp, May 14–15, 2026 (travel and lodging)
- Travel grant to present at the Doctoral Symposium, Hong Kong Baptist University, 2026 (travel and lodging)
- University of Michigan Rackham Master's/Precandidate Graduate Student Research Grant, 2025–26 (US$1,500)

Pre-Ph.D.

- Research Grant from ASBANC (Asociación de Bancos del Perú) for the paper "Exchange Rate Determination and Optimal FXI Policy: The Role of Portfolio and Liquidity Shocks" with Marco Ortiz (US$15,000, 2023)
- Full scholarship in M.Sc. in Economics and Finance at CEMFI
- Partial scholarship for living expenses in M.Sc. in Economics and Finance at CEMFI (€10,000)
- Scholarship for being ranked first in each semester of M.Sc. in Economics at Universidad del Pacífico (approximately US$15,000)

Teaching Experience

University of Michigan, Economics Department

2026 GSI, Intermediate Macroeconomic Theory

Instructor: Ruediger Bachmann (Fall) and Javier Cravino (Winter)

2024-2025 GSI, Money and Banking

Instructor: Maciej Dudek

Universidad del Pacífico, Economics Department

2021 Lecturer, Monetary Theory

2016 Lecturer, Introduction to Macroeconomics

Universidad del Pacífico, Graduate School

2013-20 Teacher Assistant: Advanced Macroeconomics I (2013, 2014, 2019, 2020), Advanced Microeconomics II (2014), Advanced Macroeconomics II (2016), Advanced Econometrics I (2019)

Universidad del Pacífico, Economics Department

2011-15 Teacher Assistant: Macroeconomics I (2011, 2012), Introduction to Microeconomics (2012), Mathematics IV (2014), Econometrics II (2014), Macroeconomics II (2014, 2015)

Languages

Spanish (native) | English (fluent)

References

Marco Ortiz
Professor, Economics Department
Universidad del Pacífico

Saki Bigio
Professor, Economics Department
UCLA

Nezih Guner
Professor, Economics Department
CEMFI

Stephen Terry
Associate Professor, Economics Department
University of Michigan

Toni Whited
Professor, Economics Department
University of Michigan

Rudi Bachmann
Professor, Economics Department
University of Michigan